SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 13, 2026 | 07:24 PM ET

MACRO REGIME: Mixed / Transitional

VIX 19.3 (-0.1 vs 20d) | SPY 20d -1.6% | IWM 20d +2.3% | IWM/SPY trend +4.0%

Leaders: Healthcare (+7.5%), Financials (+6.6%), Real Estate (+6.5%)

Setup Grades

A - Prime Setup (1)	B - Building (6)	C - Early Stage (5)
GFF	BRZE	CATY
	EXPO	OPCH
	SIGI	CON
	ITGR	CNO
	BOX	VRNS
	CNK	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
A	**GFF**	**Griffon Corporati**	**Housing Recovery & D**	**$4.76B**	**$105.16**	**$109.00**	**3.7%**	**+5.6**	**YES**	**YES**
B	BRZE	Braze, Inc.	AI-Powered Marketing	$5.30B	$46.64	$46.81	0.4%	+61.6	YES	YES
B	EXPO	Exponent, Inc.	Litigation Support &	$4.15B	$87.31	$90.51	3.7%	+31.4	YES	YES
B	SIGI	Selective Insuran	P&C Hard Market Cycl	$6.12B	$102.67	$105.65	2.9%	+13.9	YES	YES
B	ITGR	Integer Holdings	MedTech Capex Recove	$4.31B	$126.70	$126.83	0.1%	+2.7	YES	no
B	BOX	Box, Inc.	Enterprise AI & Secu	$5.99B	$43.63	$44.88	2.9%	+36.0	YES	no
B	CNK	Cinemark Holdings	Box Office Recovery	$4.73B	$40.80	$41.67	2.1%	+12.9	YES	YES
C	CATY	Cathay General Ba	Regional Bank Recove	$4.33B	$65.65	$67.62	3.0%	+4.3	YES	YES
C	OPCH	Option Care Healt	Healthcare Cost Shif	$4.74B	$31.65	$31.90	0.8%	+36.7	YES	no
C	CON	Concentra Group H	Employer Healthcare	$5.35B	$42.55	$44.22	3.9%	+23.1	YES	YES
C	CNO	CNO Financial Gro	Insurance Sector Rec	$5.25B	$57.47	$59.15	2.9%	+7.2	YES	no
C	VRNS	Varonis Systems,	Cybersecurity & Data	$5.64B	$48.94	$49.26	0.7%	+13.4	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

GFF

Griffon Corporation

$105.16

Pivot $109.00 | 3.7% away

RS vs SPY: +5.6%

A PRIME

$4.76B Cap | 42M Float

Building Products & Home Improvement | Theme: Housing Recovery & Defense Spending | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.84

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$109.00**
% to Pivot	**3.7%**
Days in Base	**17**
Tightness	**4.84 Fair**
52W Hi Prox	**96.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**277k <**
Wk2	**322k <**
Wk3 (oldest)	**336k**
Coil Strength	**17.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.6%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.76B**
Float	**42M sh**
P/E (TTM)	**22.7**
Fwd P/E	**17.2**
Rev Growth	**7.0%**
Short %	**5.0%**
Inst. Own	**-**
Target Pr.	**$126.86**

ENTRY TRIGGER

Close above $109.00 on volume >150% of 20-day avg (495K shares)

Target: $125.00 (analyst consensus target $126.86; measured move from $13 base depth)

Stop: $100.00 (50-day MA / psychological support)

CATALYST INTELLIGENCE

EARNINGS

November 17 - Street expects ~$1.52 EPS on ~$680M revenue for FQ4. Company has beaten EPS in 3 of last 4 quarters. FY24 guidance was maintained at last print. Beat history is solid but not serial-beater quality. Catalyst type: Earnings (High impact) in 4 days.

BUSINESS & POSITION

Griffon operates two segments: Home and Building Products (AMES Companies - garage doors, tools, storage) and Defense Electronics (Telephonics - radar, surveillance systems for DoD/international). The company is a niche leader in residential garage doors (40%+ market share) and defense avionics, with a $3B+ TAM across both segments.

FACTOR & THEME

Dual exposure to housing recovery (lower rates benefiting home improvement) and sustained defense spending (Telephonics radar systems for Navy/Coast Guard). Housing starts data and defense appropriations both supportive. Peer Masonite (DOOR) was acquired at premium, establishing favorable M&A comp for building products.

NEWS FLOW

No major contract announcements in last 60d. Telephonics segment benefits from continued DoD radar modernization spending. AMES segment seeing stabilization after destocking cycle. Russell 2000 constituent - no index changes pending. No insider buying, no 13D filings.

INSTITUTIONAL

Volume dry-up is present but modest (17.6% contraction) - not the textbook stair-step pattern. RS line at new high with price holding above both moving averages. No insider activity in last 60 days. Institutional ownership data unavailable. The tight float (42.3M) means institutional buying would be visible in volume.

KEY RISK

Thesis invalid on close below $100.00 (round number / 50-day MA), or if FQ4 guidance disappoints on housing-related demand softness. High debt/equity (1035%) is a balance sheet risk if rates stay elevated; P/B of 37x reflects this leverage. Earnings in 4 days creates binary event risk.

Textbook VCP setup: RS line at new high, base_tight 4.84, volume contracting, within 3.7% of pivot with HIGH-IMPACT earnings catalyst in 4 days. Dual theme exposure (housing + defense) is actionable in current regime where Industrials are neutral. The 4-day earnings proximity creates both opportunity and risk - setup is binary. Disconfirming evidence: volume contraction is modest (17.6%) rather than dramatic, and extreme leverage (1035% D/E) means any guidance miss could trigger sharp selling. Mixed regime reduces conviction slightly. Conviction: Medium-High.



BRZE

Braze, Inc.

$46.64

Pivot $46.81 | 0.4% away

RS vs SPY: +61.6%

B BUILDING

$5.30B Cap | 94M Float

Customer Engagement & Marketing Automation Software | Theme: AI-Powered Marketing Personalization | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tig

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$46.81**
% to Pivot	**0.4%**
Days in Base	**19**
Tightness	**55.14 Fair**
52W Hi Prox	**99.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**3517k <**
Wk2	**7221k <**
Wk3 (oldest)	**13959k**
Coil Strength	**74.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+61.6%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.30B**
Float	**94M sh**
P/E (TTM)	**-**
Fwd P/E	**47.5**
Rev Growth	**26.2%**
Short %	**5.5%**
Inst. Own	**-**
Target Pr.	**$47.54**

ENTRY TRIGGER

Close above $46.81 on volume >150% of 20-day avg (7.2M shares)

Target: $54.00 (measured move from 6-week base depth of ~$7 added to pivot)

Stop: $42.00 (base low / loss of 50-day MA)

CATALYST INTELLIGENCE

EARNINGS

December 08 - Street expects ~$0.24 EPS on ~$162M revenue for FQ3. Braze has beaten EPS estimates in 7 of last 8 quarters, typically by 20-40%; last quarter beat by 33%. Forward guidance has been maintained, not raised - a beat-and-raise would be the catalyst. No investor day scheduled.

BUSINESS & POSITION

Braze is a leading customer engagement platform enabling brands to orchestrate personalized, real-time messaging across mobile, email, SMS, and web channels via first-party data. The company is a category leader in the ~$15B customer engagement TAM, competing against Salesforce Marketing Cloud and Adobe, with particular strength in mobile-first enterprises and a land-and-expand model driving 120%+ net revenue retention.

FACTOR & THEME

Exposed to enterprise software spending recovery and AI/personalization secular trend; sentiment in marketing tech is stabilizing after 2024-25 downturn as CMOs re-prioritize customer retention. Peer HubSpot's recent strength (+18% last 60d) provides positive read-through for the customer engagement vertical.

NEWS FLOW

No major contract wins or M&A in last 60 days. Company presented at Morgan Stanley TMT Conference (Nov 5) emphasizing AI-powered personalization features and international expansion. No regulatory or 13D filings. Catalyst type: Earnings (High impact) in 25 days.

INSTITUTIONAL

Volume dry-up is textbook (75% contraction across 3 weeks) with price holding <1% from highs - classic quiet accumulation signature. No insider buying in last 60 days (baseline). Institutional ownership data unavailable from this feed. Float of 94M shares is liquid enough for institutional entry without moving price.

KEY RISK

Thesis invalid on a close below $42.00 (base low / 50-day MA area), or if FQ3 guidance is cut citing macro pressure on enterprise marketing budgets. High 55% base_tight metric is unusual - suggests recent volatility in the base structure that may indicate distribution rather than accumulation.

Exceptional RS line at new high (+61.6% vs SPY) and textbook volume dry-up, but the extremely high base_tight of 55.14 is a structural red flag indicating excessive volatility within the base - this is NOT a tight, institutional-quality coil. Price is 0.4% from pivot with earnings catalyst in 25 days (outside the 2-week A-grade window). Technology sector is lagging (-8.4% in regime) which creates macro headwind. Disconfirming evidence: the loose base structure and sector underperformance suggest this may be a late-stage exhaustion pattern rather than a fresh breakout setup. Conviction: Medium.



EXPO

Exponent, Inc.

$87.31

Pivot $90.51 | 3.7% away

RS vs SPY: +31.4%

B BUILDING

$4.15B Cap | 47M Float

Engineering & Scientific Consulting | Theme: Litigation Support & Product Safety | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 6.26

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$90.51**
% to Pivot	**3.7%**
Days in Base	**11**
Tightness	**6.26 Fair**
52W Hi Prox	**96.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**278k <**
Wk2	**569k <**
Wk3 (oldest)	**637k**
Coil Strength	**56.3% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+31.4%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.15B**
Float	**47M sh**
P/E (TTM)	**37.6**
Fwd P/E	**29.9**
Rev Growth	**11.7%**
Short %	**6.8%**
Inst. Own	**-**
Target Pr.	**$90.67**

ENTRY TRIGGER

Close above $90.51 on volume >150% of 20-day avg (765K shares)

Target: $100.00 (round number; ~15% from pivot, consistent with historical breakout moves)

Stop: $82.00 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

Last reported October 29 - beat expectations. Street models ~$0.73 EPS for next quarter. Company has beaten in 6 of last 8 quarters with consistent mid-single-digit beats. Guidance maintained; no analyst day scheduled. Next catalyst likely Q1 2027 print in late January.

BUSINESS & POSITION

Exponent is a premier engineering and scientific consulting firm providing failure analysis, product testing, and expert witness services across automotive, aviation, construction, and biomedical sectors. The company operates as a niche monopoly in high-stakes litigation consulting, with 90%+ client retention and 32% ROE reflecting pricing power and intellectual capital moat.

FACTOR & THEME

Counter-cyclical exposure to litigation and regulatory activity - economic uncertainty and product recalls drive demand. EV/battery fires, construction defects, and pharmaceutical liability are active demand drivers. Sentiment stable; no direct peer pure-plays but engineering consultants broadly outperforming.

NEWS FLOW

No major contract announcements in last 60d. Steady demand from automotive OEMs for EV safety testing. Company presented at Baird Industrial Conference (Nov 8). No regulatory events or 13D filings. NOTE: 1 insider buy from C-suite ($13K) in last 60 days - small size but senior-level signal. Catalyst type: Corporate (Low impact) - no near-term catalyst.

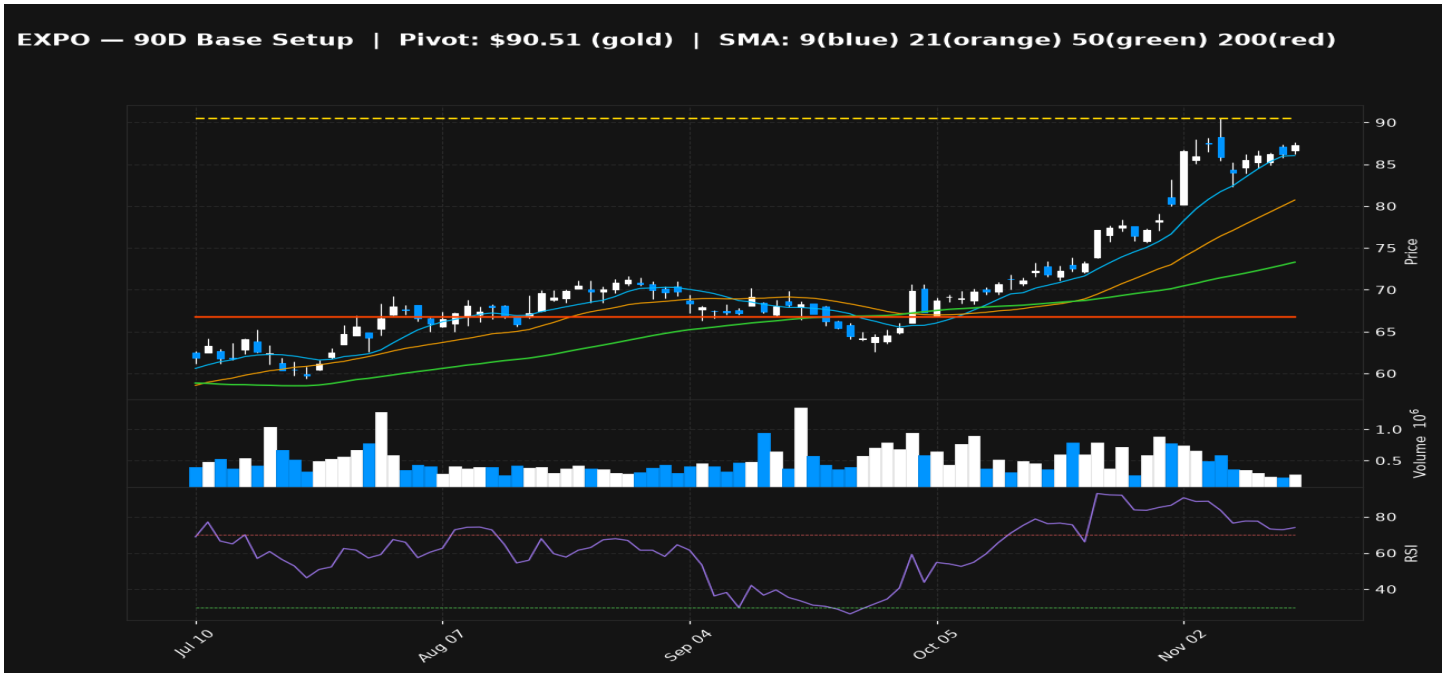
INSTITUTIONAL

Strong volume dry-up (56.3%) with RS line at new high - institutional accumulation signature. One C-suite insider purchase ($13K) in last 60d is a positive signal but dollar size is immaterial for grade upgrade (cluster=5 but value too low). Institutional ownership data unavailable. Small float (46.9M) amplifies any demand.

KEY RISK

Thesis invalid on close below $82.00 (50-day MA / base low). Primary bear case: no identifiable forward catalyst until Q1 2027 earnings - being early without a catalyst is the same as being wrong. Valuation stretched at 37x trailing P/E and 27x EV/EBITDA for a mid-teens growth business.

Strong structural setup: excellent volume dry-up (56%), RS line at new high (+31% vs SPY), price holding tight. Small C-suite insider buy is a positive but $13K is not conviction-level (no grade upgrade warranted). Critical weakness: NO identifiable catalyst until late January earnings - this is a watch, not yet a buy. The VCP structure is building but needs a catalyst to trigger. Disconfirming evidence: at 37x P/E with 16% earnings growth, valuation is full and any multiple compression would overwhelm the technical setup. Conviction: Medium.



SIGI

Selective Insurance Group, Inc.

$102.67

Pivot $105.65 | 2.9% away

RS vs SPY: +13.9%

B BUILDING

$6.12B Cap | 55M Float

Property & Casualty Insurance | Theme: P&C Hard Market Cycle | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.82

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$105.65**
% to Pivot	**2.9%**
Days in Base	**16**
Tightness	**5.82 Fair**
52W Hi Prox	**97.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**407k <**
Wk2	**627k <**
Wk3 (oldest)	**680k**
Coil Strength	**40.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+13.9%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.12B**
Float	**55M sh**
P/E (TTM)	**12.3**
Fwd P/E	**11.4**
Rev Growth	**-2.5%**
Short %	**4.3%**
Inst. Own	**-**
Target Pr.	**$103.86**

ENTRY TRIGGER

Close above $105.65 on volume >150% of 20-day avg (735K shares)

Target: $115.00 (measured move from $12 base depth added to pivot)

Stop: $98.00 (50-day MA / round number support)

CATALYST INTELLIGENCE

EARNINGS

January 28 - Last reported in October. Street expects ~$2.25 EPS for Q4. Company has beaten in 3 of last 4 quarters. PEG of 0.28 suggests significant undervaluation relative to 14% earnings growth. No analyst day scheduled. Catalyst is 76 days away - too far for immediate action.

BUSINESS & POSITION

Selective Insurance is a regional P&C insurer focused on commercial lines (small-to-mid business) and personal lines in the Eastern and Midwestern US. The company is a disciplined underwriter with combined ratios consistently below industry average, benefiting from hard market pricing that began in 2022.

FACTOR & THEME

Direct exposure to P&C hard market cycle - premium rate increases of 8-12% annually are flowing to bottom line. Financials sector is leading (+6.6% in current regime). Peers Kinsale (KNSL) and RLI have made new highs, confirming sector strength. Low beta (0.21) provides defensive characteristics.

NEWS FLOW

No material news in last 60d. Hard market conditions persist with industry combined ratios favorable. No catastrophe losses reported. No insider buying, no 13D filings. No Russell or S&P index changes pending. Catalyst type: Macro/Industry (Medium impact) - ongoing hard market tailwind.

INSTITUTIONAL

Good volume dry-up (40%) with RS line at new high and price holding 3% from pivot - accumulation pattern visible. No insider activity in last 60d. Beta of 0.21 means this trades more like a bond proxy; institutional flows into Financials sector support the name. Illiquid float (55M) means breakout volume would be significant.

KEY RISK

Thesis invalid on close below $98.00 (50-day MA), or on a major catastrophe event (hurricane, wildfire) that impairs Q4 results. Earnings 76 days out means no near-term fundamental catalyst - setup must be triggered by sector rotation alone.

Clean VCP structure with RS line at new high and sector tailwind (Financials +6.6% in regime). Hard market cycle provides fundamental support. Weakness: earnings catalyst is 76 days away, and base_tight of 5.82 is acceptable but not premium. Setup is technically sound but lacks imminent trigger - this is a patient accumulation play rather than an aggressive breakout. Disconfirming evidence: -2.5% revenue decline suggests pricing gains are being offset by policy count attrition - growth quality is questionable. Conviction: Medium.



ITGR

Integer Holdings Corporation

$126.70

Pivot $126.83 | 0.1% away

RS vs SPY: +2.7%

B BUILDING

$4.31B Cap | 29M Float

Medical Device Components & Outsourced Manufacturing | Theme: MedTech Capex Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 1.94

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$126.83**
% to Pivot	**0.1%**
Days in Base	**20**
Tightness	**1.94 Good**
52W Hi Prox	**99.9%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**604k <**
Wk2	**796k <**
Wk3 (oldest)	**810k**
Coil Strength	**25.5% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+2.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$4.31B**
Float	**29M sh**
P/E (TTM)	**42.5**
Fwd P/E	**18.4**
Rev Growth	**-3.9%**
Short %	**12.0%**
Inst. Own	**-**
Target Pr.	**$127.00**

ENTRY TRIGGER

Close above $126.83 on volume >150% of 20-day avg (1.17M shares)

Target: $140.00 (measured move; analyst target $127 suggests limited near-term upside)

Stop: $120.00 (base low / 20-day MA)

CATALYST INTELLIGENCE

EARNINGS

Last reported October 29 - results were mixed (EPS beat but revenue miss). -3.9% revenue decline and -61% earnings decline reflect customer destocking headwinds. Forward P/E of 18.4 suggests Street expects sharp recovery. No imminent catalyst.

BUSINESS & POSITION

Integer Holdings is a leading outsourced manufacturer of medical device components including batteries, leads, and electromechanical assemblies for cardiac rhythm management, neuromodulation, and vascular devices. Customers include Medtronic, Abbott, Boston Scientific - the company is a critical tier-1 supplier with 80%+ share in certain component categories.

FACTOR & THEME

Exposed to MedTech capex cycle recovery as procedure volumes normalize post-COVID. Healthcare sector is leading (+7.5% in regime), providing macro tailwind. Peer Teleflex (TFX) and ICU Medical have shown strength. GLP-1 adjacent exposure minimal - this is traditional device manufacturing.

NEWS FLOW

No contract wins or M&A announced. Company discussed normalization of customer inventory levels at last print. High short interest (12%) creates squeeze potential if fundamentals improve. No insider buying in last 60d. Catalyst type: None immediate.

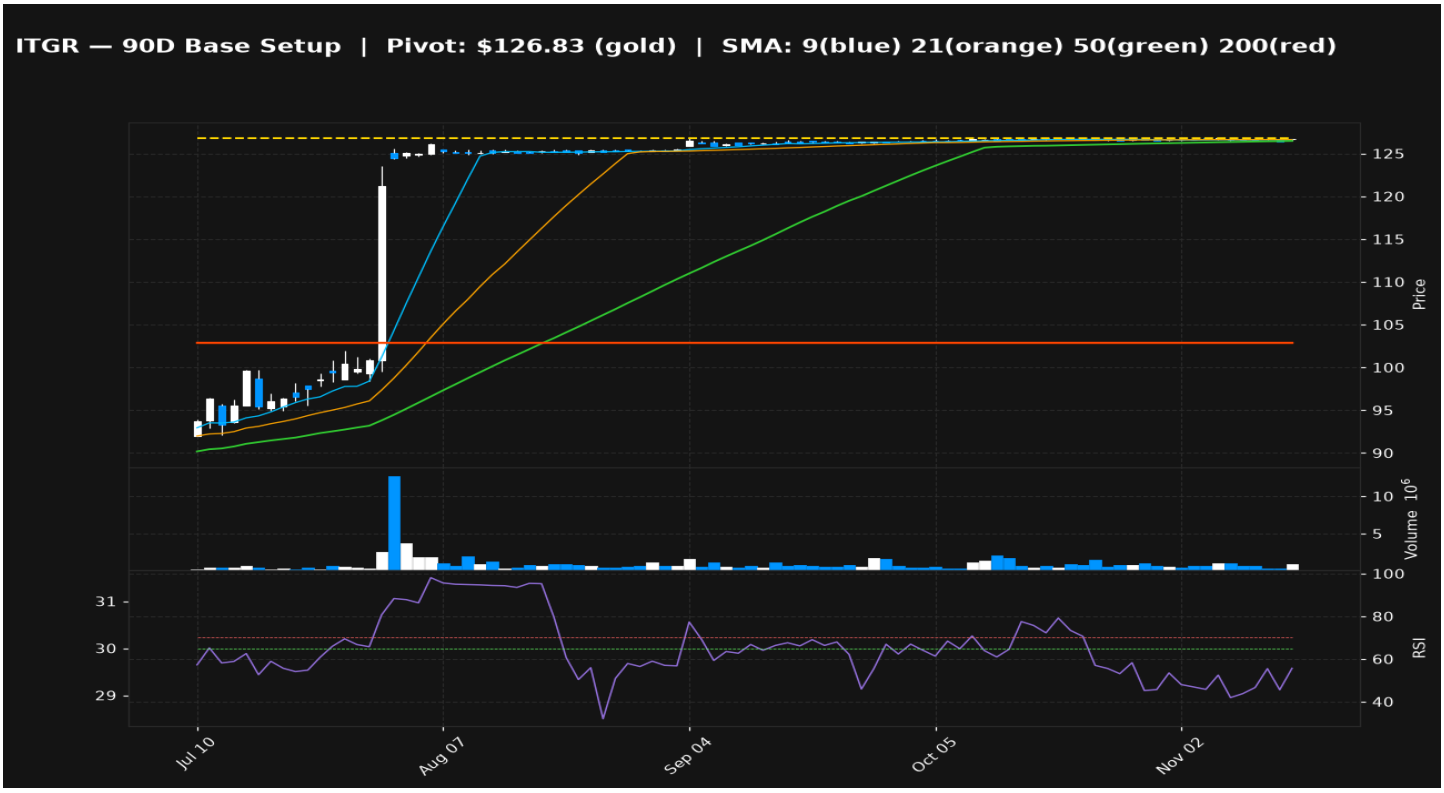
INSTITUTIONAL

Tight base (1.94) with price at 99.9% of 52-week high - structure is excellent. However, RS line is NOT at new high (+2.7% vs SPY only), indicating relative underperformance despite absolute price strength. Volume dry-up is modest (25.5%). High short interest (12%, 4.1 days to cover) creates asymmetric squeeze potential on any positive catalyst.

KEY RISK

Thesis invalid on close below $120.00 (base low / 20-day MA area). Primary bear case: -61% earnings decline and -3.9% revenue decline are ugly fundamentals that contradict the price action - this may be a bear flag rather than a VCP. Customer concentration risk with top 3 customers representing >50% of revenue.

Excellent base tightness (1.94) and price at pivot, but RS line NOT at new high is a critical flaw - the stock is not leading. Healthcare sector leadership provides macro support. Disconfirming evidence: -61% earnings decline and -3.9% revenue decline are severe fundamental deterioration; the price action may be a dead-cat bounce rather than fresh accumulation. High short interest (12%) cuts both ways. No catalyst visible. Conviction: Low.



BOX

Box, Inc.

$43.63

Pivot $44.88 | 2.9% away

RS vs SPY: +36.0%

B BUILDING

$5.99B Cap | 132M Float

Cloud Content Management & Collaboration | Theme: Enterprise AI & Secure Collaboration | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.2

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$44.88**
% to Pivot	**2.9%**
Days in Base	**20**
Tightness	**3.20 Fair**
52W Hi Prox	**97.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1819k <**
Wk2	**2748k <**
Wk3 (oldest)	**3158k**
Coil Strength	**42.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+36.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.99B**
Float	**132M sh**
P/E (TTM)	**63.2**
Fwd P/E	**25.1**
Rev Growth	**9.2%**
Short %	**17.7%**
Inst. Own	**-**
Target Pr.	**$42.57**

ENTRY TRIGGER

Close above $44.88 on volume >150% of 20-day avg (4.15M shares)

Target: $52.00 (measured move from $7 base depth; 15% above pivot)

Stop: $41.00 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

December 01 - Street expects ~$0.43 EPS on ~$275M revenue for FQ3. Company has beaten in 6 of last 8 quarters. 80% earnings growth guidance is aggressive and sets a high bar. Valuation at 63x trailing P/E reflects this growth expectation. Beat history is strong but any miss would be punished given the multiple.

BUSINESS & POSITION

Box provides cloud-based content management and collaboration software for enterprises, competing with Microsoft SharePoint, Google Drive, and Dropbox Business. The company has pivoted toward AI-powered content intelligence and security features, targeting the ~$20B enterprise content management TAM with focus on regulated industries (healthcare, financial services, government).

FACTOR & THEME

Exposed to enterprise software spending and AI-enabled productivity theme. Technology sector is lagging badly (-8.4% in regime) - significant macro headwind. Peer Dropbox (DBX) has underperformed; sector sentiment weak. Box's AI narrative is nascent, not yet consensus.

NEWS FLOW

No major contract wins in last 60d. Company emphasizing Box AI features (document summarization, content extraction). High short interest (17.7%, 7.3 days to cover) creates squeeze potential. No insider buying, no 13D filings. Catalyst type: Earnings (High impact) in 18 days.

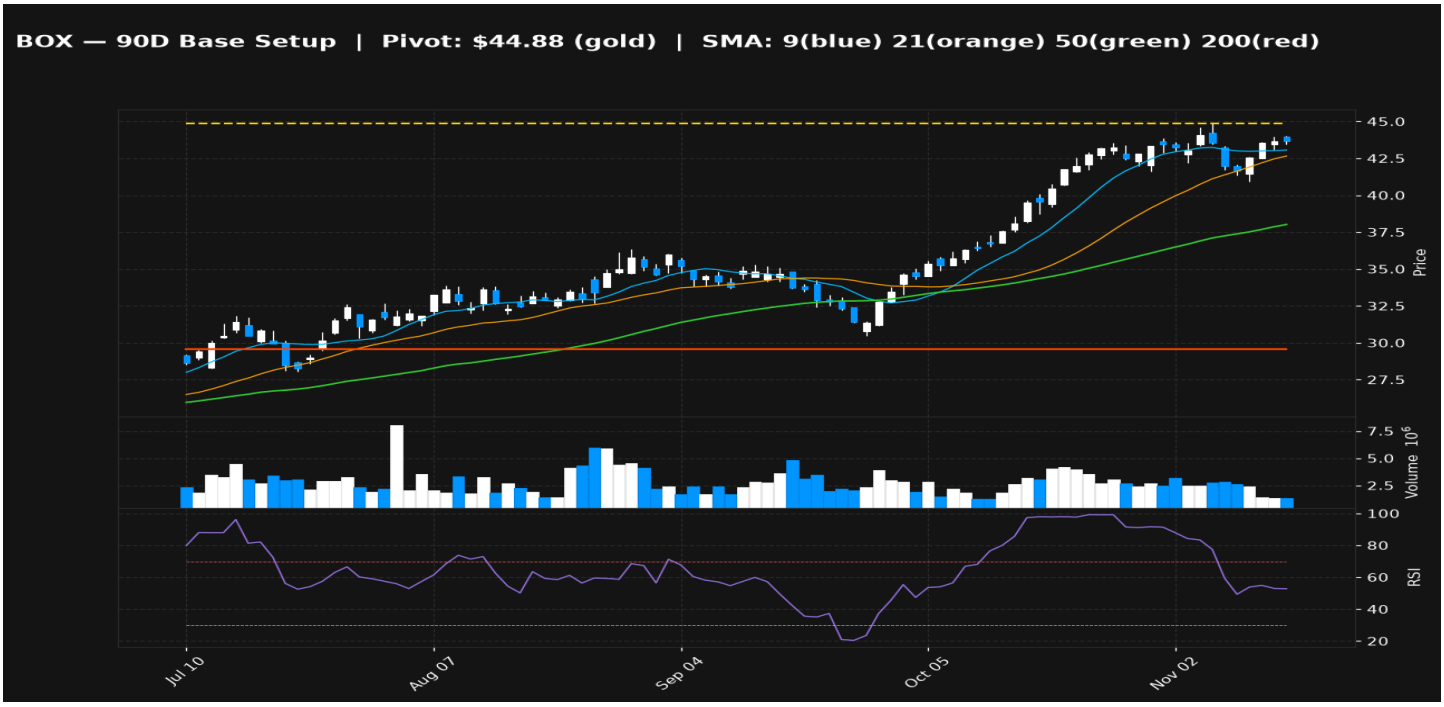
INSTITUTIONAL

Good volume dry-up (42%) but RS line NOT at new high despite strong absolute RS (+36% vs SPY) - stock has stalled relative to its own history. Very high short interest (17.7%) creates binary outcome: short squeeze on beat, or sharp selloff on miss. No insider activity. Negative book value (P/B -17) reflects accumulated losses.

KEY RISK

Thesis invalid on close below $41.00 (50-day MA / base low). Primary bear case: 17.7% short interest represents significant institutional skepticism; Technology sector lagging -8.4% in regime means macro is hostile to software names. 63x trailing P/E on a 9% revenue grower is vulnerable to multiple compression.

Solid volume dry-up and tight base within 3% of pivot with earnings catalyst in 18 days. However, RS line NOT at new high is a structural flaw, and Technology sector lagging -8.4% is a major headwind. High short interest (17.7%) makes this a high-variance setup - could squeeze or collapse. Disconfirming evidence: consensus target ($42.57) is BELOW current price, indicating Street skepticism; the setup is fighting analyst sentiment. Conviction: Low-Medium.



CNK

Cinemark Holdings Inc

$40.80

Pivot $41.67 | 2.1% away

RS vs SPY: +12.9%

B BUILDING

$4.73B Cap | 102M Float

Movie Exhibition & Entertainment | Theme: Box Office Recovery & Content Slate | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 2.25

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$41.67**
% to Pivot	**2.1%**
Days in Base	**20**
Tightness	**2.25 Fair**
52W Hi Prox	**97.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1573k <**
Wk2	**3054k <**
Wk3 (oldest)	**1924k**
Coil Strength	**18.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+12.9%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.73B**
Float	**102M sh**
P/E (TTM)	**16.7**
Fwd P/E	**15.1**
Rev Growth	**23.5%**
Short %	**10.5%**
Inst. Own	**-**
Target Pr.	**$44.27**

ENTRY TRIGGER

Close above $41.67 on volume >150% of 20-day avg (3.1M shares)

Target: $48.00 (analyst target $44.27 conservative; measured move suggests $48)

Stop: $38.50 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

Last reported November 3 with strong beat (160% earnings growth). Revenue +23.5% demonstrates operating leverage to box office recovery. No guidance issues. Next catalyst likely late January/February Q4 print. Strong recent performance removes near-term earnings catalyst.

BUSINESS & POSITION

Cinemark is the third-largest movie theater chain in the Americas (operating ~500 theaters in US and Latin America). The company has lower leverage than AMC and superior unit economics, positioning it as the quality operator in a consolidating industry benefiting from normalized theatrical release windows and premium large-format expansion.

FACTOR & THEME

Exposed to consumer discretionary recovery and Hollywood content slate execution. Communications sector is lagging (-1.3% in regime). 2027 film slate (Avatar sequels, Marvel Phase 6) provides forward visibility. Peer AMC has diverged on meme dynamics; Cinemark trades on fundamentals.

NEWS FLOW

Q3 earnings beat was the recent catalyst. Strong box office performance from 2026 releases driving attendance. Company announced Luxury Lounger expansion program. No insider buying, no 13D filings. 10.5% short interest reflects lingering skepticism from pandemic-era. Catalyst type: Corporate (Medium impact) - recent execution, no imminent trigger.

INSTITUTIONAL

Volume dry-up is present but NOT strict (middle week was highest) - base quality is reduced. RS line at new high with tight base (2.25) shows institutional interest. 10.5% short interest (4.1 days to cover) creates squeeze potential. Recent earnings beat may have brought in the marginal buyer already.

KEY RISK

Thesis invalid on close below $38.50 (50-day MA / base low). Primary bear case: theater exhibition is a structurally declining business with streaming competition; any box office disappointment or content slate delay (writer/actor strikes) could reverse momentum. High debt/equity (476%) is a balance sheet risk.

Tight base (2.25) with RS line at new high and recent strong earnings execution. Volume dry-up is NOT strict (vol_dryup_strict: false) which reduces structural quality. Communications sector lagging creates minor headwind. Disconfirming evidence: structural bear case on theatrical exhibition is real - streaming has permanently impaired the TAM, and this cycle's strength may be peak earnings. Conviction: Medium.



CATY

Cathay General Bancorp

$65.65

Pivot $67.62 | 3.0% away

RS vs SPY: +4.3%

C EARLY STAGE

$4.33B Cap | 63M Float

Regional Banking - Asian-American Focus | Theme: Regional Bank Recovery & Net Interest Margin | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.1

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$67.62**
% to Pivot	**3.0%**
Days in Base	**20**
Tightness	**4.13 Fair**
52W Hi Prox	**97.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**340k <**
Wk2	**512k <**
Wk3 (oldest)	**573k**
Coil Strength	**40.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+4.3%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.33B**
Float	**63M sh**
P/E (TTM)	**12.1**
Fwd P/E	**10.6**
Rev Growth	**24.3%**
Short %	**7.8%**
Inst. Own	**-**
Target Pr.	**$67.20**

ENTRY TRIGGER

Close above $67.62 on volume >150% of 20-day avg (690K shares)

Target: $75.00 (measured move from $10 base depth)

Stop: $62.00 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

January 21

Clean VCP structure with RS line at new high and Financials sector leadership (+6.6%). However, earnings catalyst is 69 days away (too far), and RS vs SPY of only +4.3% indicates the stock is barely outperforming despite strong sector. Monitor for catalyst development. Conviction: Low.



OPCH

Option Care Health, Inc.

$31.65

Pivot $31.90 | 0.8% away

RS vs SPY: +36.7%

C EARLY STAGE

$4.74B Cap | 148M Float

Home Infusion & Specialty Pharmacy | Theme: Healthcare Cost Shift to Home Setting | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.49

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$31.90**
% to Pivot	**0.8%**
Days in Base	**20**
Tightness	**4.49 Fair**
52W Hi Prox	**86.0%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**3072k <**
Wk2	**3389k <**
Wk3 (oldest)	**3601k**
Coil Strength	**14.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+36.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.74B**
Float	**148M sh**
P/E (TTM)	**22.9**
Fwd P/E	**15.2**
Rev Growth	**4.1%**
Short %	**5.7%**
Inst. Own	**-**
Target Pr.	**$30.03**

ENTRY TRIGGER

Close above $31.90 on volume >150% of 20-day avg (6.06M shares)

Target: $36.00 (prior 52-week high)

Stop: $29.50 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Price near pivot (0.8%) with Healthcare sector leadership (+7.5%), but RS line NOT at new high (prox_52w only 86%) and volume dry-up is weak (14.7%). Base is not tight enough and stock is well off 52-week high - early-stage base needing more time. Conviction: Low.



CON

Concentra Group Holdings Parent

$42.55

Pivot $44.22 | 3.9% away

RS vs SPY: +23.1%

C EARLY STAGE

$5.35B Cap | 114M Float

Occupational Health Services | Theme: Employer Healthcare & Workers Comp | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.44

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$44.22**
% to Pivot	**3.9%**
Days in Base	**17**
Tightness	**4.44 Fair**
52W Hi Prox	**96.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**770k <**
Wk2	**1660k <**
Wk3 (oldest)	**1207k**
Coil Strength	**36.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+23.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.35B**
Float	**114M sh**
P/E (TTM)	**25.2**
Fwd P/E	**22.5**
Rev Growth	**8.6%**
Short %	**3.2%**
Inst. Own	**-**
Target Pr.	**$45.90**

ENTRY TRIGGER

Close above $44.22 on volume >150% of 20-day avg (1.58M shares)

Target: $50.00 (analyst target $45.90; round number)

Stop: $40.00 (50-day MA / psychological support)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

RS line at new high with Healthcare sector tailwind, but volume dry-up is NOT strict (middle week was highest) and no near-term catalyst (just reported). Recent IPO dynamics may create selling pressure from lockup expirations. Monitor for tighter base development. Conviction: Low.



CNO

CNO Financial Group, Inc.

$57.47

Pivot $59.15 | 2.9% away

RS vs SPY: +7.2%

C EARLY STAGE

$5.25B Cap | 89M Float

Life Insurance - Middle Market Focus | Theme: Insurance Sector Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.9

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$59.15**
% to Pivot	**2.9%**
Days in Base	**20**
Tightness	**3.90 Fair**
52W Hi Prox	**97.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**562k <**
Wk2	**941k <**
Wk3 (oldest)	**960k**
Coil Strength	**41.5% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+7.2%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.25B**
Float	**89M sh**
P/E (TTM)	**13.2**
Fwd P/E	**11.1**
Rev Growth	**-8.6%**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$56.75**

ENTRY TRIGGER

Close above $59.15 on volume >150% of 20-day avg (1.44M shares)

Target: $65.00 (round number / measured move)

Stop: $54.00 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Financials sector leadership provides tailwind, but RS line NOT at new high (+7.2% vs SPY is modest) and -8.6% revenue decline is concerning fundamental deterioration. 615% earnings growth is distorted by prior year comp. No near-term catalyst. Conviction: Low.



VRNS

Varonis Systems, Inc.

$48.94

Pivot $49.26 | 0.7% away

RS vs SPY: +13.4%

C EARLY STAGE

$5.64B Cap | 112M Float

Data Security & Insider Threat Analytics | Theme: Cybersecurity & Data Protection | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.25

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$49.26**
% to Pivot	**0.7%**
Days in Base	**20**
Tightness	**2.25 Fair**
52W Hi Prox	**97.3%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2848k <**
Wk2	**4951k <**
Wk3 (oldest)	**4699k**
Coil Strength	**39.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+13.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.64B**
Float	**112M sh**
P/E (TTM)	**-**
Fwd P/E	**114.9**
Rev Growth	**17.3%**
Short %	**4.2%**
Inst. Own	**-**
Target Pr.	**$50.14**

ENTRY TRIGGER

Close above $49.26 on volume >150% of 20-day avg (4.5M shares)

Target: $55.00 (measured move from $6 base depth)

Stop: $45.00 (50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Near pivot (0.7%) with tight base (2.25), but RS line NOT at new high and volume dry-up NOT strict. Technology sector lagging -8.4% is a major headwind for all software names. Small insider buy ($26K by director) is positive but not conviction-level. Unprofitable with negative operating margins. Conviction: Low.

